COMPUTATIO

47

write-offs self-employed owners miss

Every deduction explained in plain English, with the IRS rule behind it. Updated for the 2025 tax law and 2026 figures.

A COMPUTATIO GUIDE · 2026 EDITION

INTRODUCTION

Why this guide exists

Most self-employed owners don't miss deductions because the rules are secret. They miss them because their records don't show what they spent, or because a rule changed and nobody told them.

2025 brought the biggest change to small-business tax rules in years. The tax law signed in July 2025 brought back 100% bonus depreciation, made the 20% qualified business income deduction permanent, raised the threshold for filing Form 1099-NEC to $2,000, and opened health savings accounts to more people. Many write-offs work differently than they did a year or two ago.

This guide covers 47 write-offs that apply to freelancers, consultants, creators, contractors and owners of single-owner LLCs and S-corps. Each one explains what it is, who qualifies, an example with numbers, the rule that allows it and the mistake to avoid.

Read it once, then keep it as a checklist when you review your books and before you file.

What this guide is, and isn't

It's general information for the 2026 tax year (returns filed in 2027), checked against IRS sources in October 2026. It isn't tax advice for your situation. State rules differ and some items need a professional to set up properly. When in doubt, ask before you claim.

— Computatio

HOW TO USE THIS GUIDE

About 15 minutes to read. A year of use.

Each write-off has five parts

The write-off: what it is. **Who qualifies:** who can claim it. **Example:** a worked example with made-up numbers. **The rule:** the tax code section or IRS guidance behind it. **Watch out for:** the most common mistake.

About the examples

Examples are illustrations, not results from real clients. Savings use a 30% combined federal and state rate to keep the math simple. Your rate depends on your income and state, and Schedule C deductions also lower self-employment tax, so your actual savings will differ.

The 8 categories

1. Home office & workspace	#1–6	6. Professional services	#34–38
2. Equipment & tech	#7–12	7. Health, family & retirement	#39–43
3. Software & subscriptions	#13–19	8. Strategies worth asking about	#44–47
4. Learning & professional growth	#20–26	Before you file: 5 red flags	
5. Travel, meals & events	#27–33	Should you become an S-corp?	

CATEGORY 1 OF 8 · WRITE-OFFS 1–6

01

Home office & workspace

01 Dedicated home office

THE WRITE-OFF	The business share of rent or mortgage interest, utilities, homeowner's or renter's insurance, repairs and depreciation, based on the square footage of the space you use for your business.
WHO QUALIFIES	Anyone who runs their business from a room or area used regularly and only for work.
EXAMPLE	A 200 sq ft office in a 2,000 sq ft home is 10%. Rent of $3,000 a month × 12 × 10% = **$3,600** deduction. At a 30% rate, about **$1,080** less tax.
THE RULE	IRC §280A(c)(1); IRS Publication 587; Form 8829
WATCH OUT FOR	“Exclusive” means exclusive: a guest bed or the family computer in the room disqualifies it. Take photos of the space once a year. S-corp owners can’t claim this on their personal return; see the accountable plan (#45).

02 The simplified home office method

THE WRITE-OFF	Instead of tracking actual home expenses, deduct $5 per square foot of office space, up to 300 sq ft ($1,500 a year).
WHO QUALIFIES	Owners with a small office, low housing costs, or no appetite for tracking utilities and depreciation.
EXAMPLE	300 sq ft × $5 = **$1,500** deduction. At a 30% rate, about **$450** less tax.
THE RULE	Rev. Proc. 2013-13; IRS Publication 587
WATCH OUT FOR	Run the numbers both ways. In higher-cost housing the regular method is often larger. You can switch methods from year to year.

03 Studio or content production space

THE WRITE-OFF	If you film, record or photograph for your business in a dedicated space, the equipment and set-up costs are deductible, and the room itself counts toward your home office.
WHO QUALIFIES	Creators, podcasters, photographers and anyone recording courses or client content at home.
EXAMPLE	Acoustic panels ($900) + backdrop and set pieces ($600) + lighting ($1,100) = **$2,600** deduction. At a 30% rate, about **$780** less tax.
THE RULE	IRC §162; §280A for the room; §168(k) and §179 for equipment
WATCH OUT FOR	Items and invoices of $2,500 or less can usually be expensed under the de minimis safe harbor. Changes to the building itself, like built-in soundproofing or wiring, are improvements and are depreciated with the home office.

04 Coworking and office rent

THE WRITE-OFF	Coworking memberships, private offices, hot desks and day passes.
WHO QUALIFIES	Anyone who works outside the home, even part of the week.
EXAMPLE	Coworking membership of $350 a month × 12 = **$4,200** deduction. At a 30% rate, about **$1,260** less tax.
THE RULE	IRC §162 (ordinary and necessary business expenses)
WATCH OUT FOR	You can have both a coworking space and a home office, but the home office still has to meet the regular-and-exclusive-use test on its own.

05 Home office repairs and improvements

THE WRITE-OFF	Repairs to the office itself (painting, fixing a window) are deducted right away. Whole-home repairs and utilities are deducted by your business-use percentage.
WHO QUALIFIES	Anyone with a home office who repaired or upgraded the space this year.
EXAMPLE	Repainting the office ($700) + 10% of a $1,500 whole-home repair ($150) = **$850** deduction. At a 30% rate, about **$255** less tax.
THE RULE	IRC §162 for repairs; §168 for improvements; IRS Publication 587
WATCH OUT FOR	Repairs keep things working; improvements make them better or longer-lasting. New flooring or a new HVAC unit is an improvement and is depreciated, not deducted in one year.

06 Office furniture

THE WRITE-OFF	Desk, chair, shelving, filing cabinets and lighting for your workspace.
WHO QUALIFIES	Anyone with a home or rented office.
EXAMPLE	Desk ($900) + ergonomic chair ($700) + shelving ($300) + lamps ($150) = **$2,050** deduction. At a 30% rate, about **$615** less tax.
THE RULE	IRC §168(k) bonus depreciation; §179; de minimis safe harbor (Treas. Reg. §1.263(a)-1(f))
WATCH OUT FOR	With 100% bonus depreciation restored for property acquired after January 19, 2025, most furniture can be deducted in the year you buy it. Keep the receipts and note where each item is used.

CATEGORY 2 OF 8 · WRITE-OFFS 7–12

02

Equipment & tech

07 Computers, cameras and microphones

THE WRITE-OFF	Laptops, monitors, tablets, cameras, microphones, external drives and other equipment used for client work or content.
WHO QUALIFIES	Virtually every self-employed owner.
EXAMPLE	Laptop ($2,400) + second monitor ($400) + microphone and interface ($500) = **$3,300** deduction. At a 30% rate, about **$990** less tax.
THE RULE	IRC §168(k) (100% bonus depreciation); §179
WATCH OUT FOR	To expense equipment under §179 it must be used more than 50% for business. If you also use it personally, deduct only the business share and write down how you estimated it.

08 Phone and phone plan

THE WRITE-OFF	The business share of your cell phone plan, plus the business share of the phone itself.
WHO QUALIFIES	Anyone who uses their phone for clients, calls, email or content.
EXAMPLE	$110 a month plan × 12 × 70% business use ($924) + 70% of a $1,000 phone ($700) = **$1,624** deduction. At a 30% rate, about **$487** less tax.
THE RULE	IRC §162; §168 for the device
WATCH OUT FOR	Claiming 100% business use of your only phone invites questions. Track a typical week once, note the percentage and keep the note with your records.

09 Audio, video and lighting gear

THE WRITE-OFF	Cameras, lenses, lighting kits, teleprompters, capture cards and podcast equipment.
WHO QUALIFIES	Creators, coaches, educators and anyone producing video or audio for their business.
EXAMPLE	Camera body and lens ($2,800) + lighting kit ($600) + teleprompter ($300) = **$3,700** deduction. At a 30% rate, about **$1,110** less tax.
THE RULE	IRC §168(k); §179 (2026 limit about $2.56 million, far above most small-business purchases)
WATCH OUT FOR	Bonus depreciation now applies automatically unless you elect out, so expensing gear in the year you buy it is the default. Don't elect out without a reason.

10 Small office tech and supplies

THE WRITE-OFF	Cables, hubs, webcams, printers, ink, paper, labels, postage and business cards.
WHO QUALIFIES	Everyone.
EXAMPLE	A year of small purchases = **$1,200** deduction. At a 30% rate, about **$360** less tax.
THE RULE	IRC §162
WATCH OUT FOR	These get lost in personal shopping orders. Use one card for business purchases and categorize them monthly, not in April.

11 Business driving

THE WRITE-OFF	Driving to clients, events, suppliers, the bank or the post office. Use the standard mileage rate or actual costs (gas, insurance, repairs and depreciation) times your business-use percentage.
WHO QUALIFIES	Anyone who drives for business, even occasionally. Your regular commute to a fixed office doesn't count.
EXAMPLE	5,000 business miles × 72.5¢ (the 2026 IRS rate) = **$3,625** deduction. At a 30% rate, about **$1,088** less tax.
THE RULE	IRC §162; IRS Notice 2026-10; IRS Publication 463
WATCH OUT FOR	Log trips as they happen: date, destination, purpose and miles. Logs rebuilt from memory at year-end are a common reason deductions are denied.

12 Heavy vehicles used for business

THE WRITE-OFF	A vehicle with a gross vehicle weight rating over 6,000 lbs isn't subject to the normal yearly car depreciation caps. With 100% bonus depreciation restored, its business-use share can often be deducted in the first year. The §179 portion for heavy SUVs is capped at $32,000 for 2026.
WHO QUALIFIES	Owners who genuinely need a vehicle for business and are buying one anyway.
EXAMPLE	$70,000 heavy SUV used 80% for business = **$56,000** deduction. At a 30% rate, about **$16,800** less tax.
THE RULE	IRC §168(k); §179(b)(5); §280F; IRS Publication 946
WATCH OUT FOR	Business use must stay above 50%, or part of the deduction is taken back ("recaptured") as income. Don't buy a vehicle for the deduction alone: you still spend the other 70% or so of the price.

CATEGORY 3 OF 8 · WRITE-OFFS 13–19

03

Software & subscriptions

13 Platforms you sell through

THE WRITE-OFF	Fees for the platforms that run your sales: course and community platforms, online stores, marketplaces and booking sites.
WHO QUALIFIES	Anyone selling courses, products, memberships or services online.
EXAMPLE	Store or course platform at $150 a month × 12 = **$1,800** deduction. At a 30% rate, about **$540** less tax.
THE RULE	IRC §162
WATCH OUT FOR	Marketplace fees taken out before you're paid are still deductible, but only if you record your gross sales and the fees separately rather than just the deposit.

14 Payment processing and bank fees

THE WRITE-OFF	Card processing fees, payout fees, business bank fees and merchant account charges.
WHO QUALIFIES	Anyone who takes card or online payments.
EXAMPLE	About 3% in fees on $60,000 of card sales = **$1,800** deduction. At a 30% rate, about **$540** less tax.
THE RULE	IRC §162
WATCH OUT FOR	Processors deposit your sales after taking their fee. If you only record deposits, both your income and your fees are understated. Pull the processor's annual report and record them gross.

15 Design, content and productivity software

THE WRITE-OFF	Design tools, video and audio editors, note-taking, project management and file storage.
WHO QUALIFIES	Everyone producing work or content on a computer.
EXAMPLE	A typical software stack = **$1,500** deduction. At a 30% rate, about **$450** less tax.
THE RULE	IRC §162
WATCH OUT FOR	If a subscription is shared with personal use, deduct only the business share.

16 AI tools

THE WRITE-OFF	AI chat, writing, image, voice and automation subscriptions, plus pay-as-you-go API usage.
WHO QUALIFIES	Anyone using AI in their business, which in 2026 is most owners.
EXAMPLE	Two AI subscriptions at $20 a month + automation and API usage of $600 a year = **$1,080** deduction. At a 30% rate, about **$324** less tax.
THE RULE	IRC §162
WATCH OUT FOR	API charges are billed separately from subscriptions and are easy to miss. Download each provider's billing history at year-end.

17 Website, domains and email

THE WRITE-OFF	Domains, hosting, website builders, business email and cloud storage.
WHO QUALIFIES	Anyone with a website or business email.
EXAMPLE	Business email ($168) + domains ($60) + hosting and site builder ($300) = **$528** deduction. At a 30% rate, about **$158** less tax.
THE RULE	IRC §162
WATCH OUT FOR	A large one-time website build may need to be spread over several years instead of deducted at once. Ask before you sign a big build contract.

18 Marketing tools and advertising

THE WRITE-OFF	Email marketing, scheduling, SEO and analytics tools, plus paid ads, sponsorships and printed materials.
WHO QUALIFIES	Anyone marketing their business.
EXAMPLE	Email platform ($30 a month) + ads ($150 a month), × 12 = **$2,160** deduction. At a 30% rate, about **$648** less tax.
THE RULE	IRC §162
WATCH OUT FOR	Advertising is deductible when paid. Political ads and lobbying are not.

19 Bookkeeping and tax software

THE WRITE-OFF	Bookkeeping software, payroll software, receipt apps and tax preparation software.
WHO QUALIFIES	Everyone.
EXAMPLE	Bookkeeping software ($50 a month × 12) + payroll ($600 a year) = **$1,200** deduction. At a 30% rate, about **$360** less tax.
THE RULE	IRC §162
WATCH OUT FOR	Tax software is deductible only for the share that covers your business. The tax you pay is never deductible.

CATEGORY 4 OF 8 · WRITE-OFFS 20–26

04

Learning & professional growth

20 Masterminds and business programs

THE WRITE-OFF	Tuition for masterminds, business programs and group coaching, plus the travel to attend.
WHO QUALIFIES	Owners in programs that maintain or improve skills used in their current business.
EXAMPLE	Mastermind tuition ($6,000) + two trips at $1,200 each = **$8,400** deduction. At a 30% rate, about **$2,520** less tax.
THE RULE	IRC §162; Treas. Reg. §1.162-5
WATCH OUT FOR	Education that qualifies you for a new trade or business isn't deductible. A program to grow your current business is; a program to switch into real estate is not.

21 Courses and certifications

THE WRITE-OFF	Online courses, workshops and certifications that improve skills you use in your business now.
WHO QUALIFIES	Everyone who keeps learning for work.
EXAMPLE	Two courses and a certification renewal = **$1,800** deduction. At a 30% rate, about **$540** less tax.
THE RULE	IRC §162; Treas. Reg. §1.162-5
WATCH OUT FOR	The same new-trade rule applies. Keep the course description with the receipt so the business connection is obvious.

22 Business coaching and advisors

THE WRITE-OFF	One-on-one business or executive coaching and paid advisors for your business.
WHO QUALIFIES	Owners who pay for business advice.
EXAMPLE	Business coach at $500 a month × 12 = **$6,000** deduction. At a 30% rate, about **$1,800** less tax.
THE RULE	IRC §162
WATCH OUT FOR	Personal therapy isn't a business expense, whatever the invoice says. It may count as a medical expense on Schedule A instead. Label things for what they are.

23 Books and industry publications

THE WRITE-OFF	Business books, audiobooks, trade journals and paid newsletters related to your work.
WHO QUALIFIES	Everyone.
EXAMPLE	Books and subscriptions for the year = **$400** deduction. At a 30% rate, about **$120** less tax.
THE RULE	IRC §162
WATCH OUT FOR	Shared subscriptions (an audiobook service used for fiction too) are deductible only for the business share.

24 Conferences and industry events

THE WRITE-OFF	Tickets, travel, lodging and 50% of meals for conferences and events in your field.
WHO QUALIFIES	Anyone attending events for their business.
EXAMPLE	Ticket ($1,200) + flight ($450) + hotel ($900) + 50% of $300 in meals = **$2,700** deduction. At a 30% rate, about **$810** less tax.
THE RULE	IRC §162; §274(n) for the 50% meal limit; IRS Publication 463
WATCH OUT FOR	For a U.S. trip that is mainly business, the airfare is fully deductible and personal days' lodging and meals are not. Trips abroad have extra allocation rules.

25 Licenses, permits and continuing education

THE WRITE-OFF	Business licenses, professional licenses and registrations, permits, and the continuing education required to keep a credential you already hold.
WHO QUALIFIES	Licensed and certified professionals, and any business that needs a city or state license.
EXAMPLE	City business license ($150) + professional renewal and CE ($850) = **$1,000** deduction. At a 30% rate, about **$300** less tax.
THE RULE	IRC §162; Treas. Reg. §1.162-5
WATCH OUT FOR	The cost of first qualifying for a new profession isn't deductible. Renewals and required CE for a credential you already hold are.

26 Content production costs

THE WRITE-OFF	Stock photos and footage, music licenses, editing, transcription and production help.
WHO QUALIFIES	Creators, educators and anyone publishing content for their business.
EXAMPLE	Music and stock licenses ($400) + freelance editor ($300 a month × 12) = **$4,000** deduction. At a 30% rate, about **$1,200** less tax.
THE RULE	IRC §162
WATCH OUT FOR	If you pay an individual contractor $2,000 or more in 2026, you'll need to file Form 1099-NEC for them by January 31, 2027 (see #34).

CATEGORY 5 OF 8 · WRITE-OFFS 27–33

05

Travel, meals & events

27 Business travel: flights and lodging

THE WRITE-OFF	Airfare, hotels, short-term rentals, baggage fees and transport at the destination when you travel away from home overnight for business.
WHO QUALIFIES	Anyone who travels for clients, events or work.
EXAMPLE	Three trips at $1,100 each = **$3,300** deduction. At a 30% rate, about **$990** less tax.
THE RULE	IRC §162(a)(2); §274; IRS Publication 463
WATCH OUT FOR	Write a short note for each trip: who you met, what you did and why. Keep it with the receipts, especially when a trip mixes business and personal days.

28 Content and research trips

THE WRITE-OFF	Travel whose main purpose is producing business content or research: filming, photographing, scouting or reporting.
WHO QUALIFIES	Creators and educators whose published work comes from the trip.
EXAMPLE	A filming trip with flights and lodging = **$2,400** deduction. At a 30% rate, about **$720** less tax.
THE RULE	IRC §162; §274
WATCH OUT FOR	This is a frequently challenged deduction. The trip must be primarily for business, not a vacation with some filming. Keep a dated log of what you produced and link to the published work.

29 Business meals

THE WRITE-OFF	50% of meals with clients, prospects or business contacts where business is discussed, and 50% of your own meals while traveling overnight for business.
WHO QUALIFIES	Anyone who meets clients over a meal or travels for work.
EXAMPLE	$2,400 of business meals × 50% = **$1,200** deduction. At a 30% rate, about **$360** less tax.
THE RULE	IRC §274(k) and (n); IRS Publication 463
WATCH OUT FOR	Note who you met and the business purpose on each receipt. Entertainment (games, concerts, golf) is not deductible, even with clients.

30 Client gifts

THE WRITE-OFF	Gifts to clients and referral partners, up to $25 per person per year.
WHO QUALIFIES	Anyone who sends thank-you or holiday gifts.
EXAMPLE	$25 × 30 clients = **$750** deduction. At a 30% rate, about **$225** less tax.
THE RULE	IRC §274(b)(1)
WATCH OUT FOR	Shipping, wrapping and engraving don't count toward the $25. Promotional items with your business name costing $4 or less don't count as gifts at all.

31 Team off-sites and planning days

THE WRITE-OFF	Lodging, meeting space, meals and activities for a working off-site with your employees or contractors.
WHO QUALIFIES	Owners with a team, even a small one.
EXAMPLE	Two-day planning off-site for three people = **$2,500** deduction. At a 30% rate, about **$750** less tax.
THE RULE	IRC §162; §274
WATCH OUT FOR	Keep the agenda and notes. A trip labeled “retreat” with no real business activity will be disallowed.

32 Startup costs

THE WRITE-OFF	Costs of investigating and setting up a new business before it opens: market research, early advertising, training and professional fees. You can deduct up to $5,000 in the first year and spread the rest over 15 years.
WHO QUALIFIES	Anyone who started a business this year.
EXAMPLE	Pre-launch research, branding and advice = **$4,000** deduction. At a 30% rate, about **$1,200** less tax.
THE RULE	IRC §195; §248 for corporate organization costs
WATCH OUT FOR	The $5,000 shrinks dollar for dollar once startup costs pass $50,000. Equipment you buy before opening is depreciated, not treated as a startup cost.

33 Parking, tolls, rideshares and rental cars

THE WRITE-OFF	Parking at clients and airports, tolls, taxis and rideshares, and rental cars for business trips.
WHO QUALIFIES	Everyone who travels for work.
EXAMPLE	A year of parking, tolls and rides = **$900** deduction. At a 30% rate, about **$270** less tax.
THE RULE	IRC §162; IRS Publication 463
WATCH OUT FOR	Parking and tolls are deductible on top of the standard mileage rate. Parking at your regular office is not.

CATEGORY 6 OF 8 · WRITE-OFFS 34–38

06

Professional services

34 Contractors and virtual assistants

THE WRITE-OFF	Payments to contractors who work in your business: assistants, project managers, support and specialists.
WHO QUALIFIES	Any owner who pays people who aren't employees.
EXAMPLE	Virtual assistant at $1,200 a month × 12 = **$14,400** deduction. At a 30% rate, about **$4,320** less tax.
THE RULE	IRC §162; IRC §6041 and §6041A for reporting
WATCH OUT FOR	Starting with payments made in 2026, the Form 1099-NEC threshold rose from $600 to $2,000. Collect a Form W-9 before the first payment, and be sure the person is really a contractor, not an employee.

35 Designers, writers and creative help

THE WRITE-OFF	Designers, copywriters, editors, photographers and developers you hire for your business.
WHO QUALIFIES	Anyone who outsources creative or technical work.
EXAMPLE	Logo and brand design ($2,500) + copywriting ($1,500) + photo shoot ($800) = **$4,800** deduction. At a 30% rate, about **$1,440** less tax.
THE RULE	IRC §162
WATCH OUT FOR	Most creative work is deducted when paid. Large projects that create a long-lasting asset may need to be spread out; ask before signing a big contract.

36 Legal fees

THE WRITE-OFF	Lawyers for business formation, contracts, trademarks, terms of service and business disputes.
WHO QUALIFIES	Anyone who pays a lawyer for business matters.
EXAMPLE	Contract templates and trademark filing = **$2,000** deduction. At a 30% rate, about **$600** less tax.
THE RULE	IRC §162
WATCH OUT FOR	Personal legal matters (divorce, personal estate planning) aren't business expenses. Business formation costs follow the startup cost rules (#32).

37 Bookkeeping and tax preparation

THE WRITE-OFF	Fees for your bookkeeper and tax preparer, including the business share of personal return preparation.
WHO QUALIFIES	Everyone who pays for help with their books or taxes.
EXAMPLE	Monthly bookkeeping at $500 × 12 = **$6,000** deduction. At a 30% rate, about **$1,800** less tax.
THE RULE	IRC §162; Rev. Rul. 92-29
WATCH OUT FOR	The part of a tax preparation bill that covers your business schedules is a business expense. Ask your preparer to break out the fee.

38 Business insurance

THE WRITE-OFF	General liability, professional liability (errors and omissions), cyber, business property and business vehicle insurance.
WHO QUALIFIES	Every business owner.
EXAMPLE	Professional and general liability = **$1,500** deduction. At a 30% rate, about **$450** less tax.
THE RULE	IRC §162
WATCH OUT FOR	Health insurance has its own rules (#42). Life and disability insurance on yourself generally aren't deductible.

CATEGORY 7 OF 8 · WRITE-OFFS 39–43

07

Health, family & retirement

39 Solo 401(k)

THE WRITE-OFF	A retirement plan for owners with no employees other than a spouse. You can contribute as the "employee" (up to $24,500 for 2026, plus $8,000 if 50 or older, or $11,250 if 60 to 63) and as the "employer" (up to 20% of net self-employment earnings for sole proprietors, 25% of W-2 pay for S-corps). The 2026 combined cap is $72,000 before catch-up.
WHO QUALIFIES	Sole proprietors and single-owner S-corps with no full-time employees.
EXAMPLE	$20,000 contributed in a year = **$20,000** deduction. At a 30% rate, about **$6,000** less tax.
THE RULE	IRC §401(k); §402(g); §415(c)
WATCH OUT FOR	Sole proprietors can now open a solo 401(k) after year-end and still make first-year contributions until the tax filing deadline (the employee part by the deadline without extensions). S-corp owners must run employee contributions through payroll by December 31.

40 SEP-IRA

THE WRITE-OFF	A simple retirement account: contribute up to 20% of net self-employment earnings (25% of W-2 pay for S-corp owners), up to $72,000 for 2026.
WHO QUALIFIES	Owners who want the simplest setup, or who have employees they're willing to include.
EXAMPLE	20% of $80,000 net self-employment earnings (after the self-employment tax deduction) = **$16,000** deduction. At a 30% rate, about **$4,800** less tax.
THE RULE	IRC §408(k); §404(h)
WATCH OUT FOR	A SEP has no "employee" contribution, so at lower incomes a solo 401(k) usually allows more. If you have eligible employees, you must contribute the same percentage for them.

41 Health savings account (HSA)

THE WRITE-OFF	Deductible contributions of up to $4,400 (self-only) or $8,750 (family) for 2026, plus $1,000 if you're 55 or older. Growth and withdrawals for medical costs are tax-free.
WHO QUALIFIES	People covered by an HSA-eligible health plan. From 2026, bronze and catastrophic marketplace plans qualify.
EXAMPLE	Family contribution for 2026 = **$8,750** deduction. At a 30% rate, about **$2,625** less tax.
THE RULE	IRC §223; Rev. Proc. 2025-19; IRS Notice 2026-5
WATCH OUT FOR	You can't contribute for months you're covered by a non-HSA plan, including a spouse's. Contributions for 2026 can be made until your filing deadline in 2027.

42 Self-employed health insurance

THE WRITE-OFF	Health, dental and qualifying long-term care premiums for you, your spouse and dependents, deducted on page 1 of your return whether or not you itemize.
WHO QUALIFIES	Self-employed owners who aren't eligible for an employer-subsidized plan, including through a spouse's job. S-corp owners must run premiums through the company and their W-2.
EXAMPLE	Family plan at $1,100 a month × 12 = **$13,200** deduction. At a 30% rate, about **$3,960** less tax.
THE RULE	IRC §162(l); Form 7206
WATCH OUT FOR	The deduction can't exceed your business's net profit, and it's lost for any month you could have joined a subsidized employer plan.

43 Hiring your children

THE WRITE-OFF	Pay your children a reasonable wage for real work in your business. Their wages are deductible to the business, and a child's earned income up to the standard deduction ($16,100 for 2026) owes no federal income tax.
WHO QUALIFIES	Owners with children old enough to do real work: filing, cleaning, packing orders, social media help.
EXAMPLE	A teenager paid $8,000 for real work during the year = **$8,000** deduction. At a 30% rate, about **$2,400** less tax.
THE RULE	IRC §162; §3121(b)(3)(A); IRS Publication 15 (Family employees)
WATCH OUT FOR	The Social Security and Medicare exemption for children under 18 applies only if the business is a sole proprietorship or a partnership owned by the parents. In an S-corp or C-corp, payroll taxes apply. Keep timesheets and pay a rate you'd pay anyone else.

CATEGORY 8 OF 8 · WRITE-OFFS 44–47

08

Strategies worth asking about

44 Renting your home to your business (the “Augusta rule”)

THE WRITE-OFF	If you rent your home out for 14 days or fewer in a year, the rent is tax-free to you. If your S-corp or partnership rents your home for genuine business meetings, the business may deduct the rent.
WHO QUALIFIES	Owners with an S-corp or partnership who hold real meetings at home. It doesn’t work for a sole proprietorship, since you can’t rent to yourself.
EXAMPLE	Four quarterly planning days at a documented $600 a day = **$2,400** deduction. At a 30% rate, about **$720** less tax.
THE RULE	IRC §280A(g)
WATCH OUT FOR	This is often abused. Use a written rental agreement, a fair rate backed by comparable local rentals, and agendas and notes for each day. Rent for 15 days or more and all of it becomes taxable.

45 Accountable plan reimbursements (S-corps)

THE WRITE-OFF	Your S-corp reimburses you for business costs you paid personally, such as the home office, phone and mileage. The company deducts the reimbursement and it isn’t taxable income to you.
WHO QUALIFIES	S-corp owners who pay business expenses personally or work from home.
EXAMPLE	Home office share ($3,600) + phone ($924) + mileage ($3,625) = **$8,149** deduction. At a 30% rate, about **$2,445** less tax.
THE RULE	IRC §62(c); Treas. Reg. §1.62-2
WATCH OUT FOR	You need a written plan. Submit expenses with receipts within a reasonable time (60 days is a safe harbor) and return any excess advance. Otherwise reimbursements count as wages.

46 Defined benefit pension plan

THE WRITE-OFF	A pension plan for high, steady earners that can allow far larger deductible contributions than a 401(k). The 2026 maximum annual benefit the plan can fund toward is $290,000.
WHO QUALIFIES	Owners with consistently high profits, usually well into six figures, who can commit to contributions for several years.
EXAMPLE	A yearly contribution set by the plan actuary, for example = **$100,000** deduction. At a 30% rate, about **$30,000** less tax.
THE RULE	IRC §401(a); §412; §415(b)
WATCH OUT FOR	Contributions are mandatory once the plan is set up, an actuary must certify the numbers each year, and admin fees run into the thousands. Get it designed by a pension specialist.

47 The qualified business income (QBI) deduction

THE WRITE-OFF	Most owners of sole proprietorships, partnerships and S-corps can deduct up to 20% of qualified business income. It's now permanent, and from 2026 there's a minimum $400 deduction if you have at least $1,000 of QBI from a business you actively run.
WHO QUALIFIES	Nearly all self-employed owners below the income limits ($201,750 single, $403,500 joint for 2026). Above them, limits apply, especially for service businesses.
EXAMPLE	20% of $70,000 of qualified business income = **$14,000** deduction. At a 30% rate, about **$4,200** less tax.
THE RULE	IRC §199A; Form 8995 or 8995-A
WATCH OUT FOR	It's figured on your tax return, not in your books, so it's easy to assume it's automatic. Check it's there. S-corp salary and retirement contributions reduce QBI, so plan them together.

BEFORE YOU FILE

5 red flags that draw IRS attention

Deductions you can't support are worse than deductions you never claimed. These are the patterns that most often turn a legitimate deduction into a lost one.

01 **Round numbers**

A return full of $5,000 and $10,000 expenses looks estimated. Real expenses come from real records: $4,847.23 is what books show.

02 **Mixing personal and business money**

Personal spending on business accounts (and the reverse) is the fastest way to lose deductions you were entitled to. Use separate accounts and cards.

03 **Missing receipts for travel, meals and gifts**

The IRS requires receipts for lodging and for any travel, meal or gift expense of $75 or more, plus a note of the business purpose.

04 **100% business use of a car or phone**

Almost nobody uses their only car or phone exclusively for business. Claim the share your records support.

05 **Years of losses with no plan to profit**

The IRS presumes a profit motive if a business makes money in 3 of 5 years. Years of losses without businesslike records can lead to hobby treatment, and hobby expenses aren't deductible.

THE BIG DECISION

Should you become an S-corp?

As a sole proprietor, you pay 15.3% self-employment tax on about 92% of your profit (the Social Security part stops at $184,500 for 2026). As an S-corp owner, you pay yourself a reasonable salary through payroll; Social Security and Medicare apply to the salary, but not to the remaining profit you take as distributions.

Example: $150,000 of profit	Sole proprietor	S-corp, $75,000 salary
Social Security and Medicare tax	about $21,200	about $11,500
Difference before extra costs		about $9,700 a year

Example only. Sole proprietor: $150,000 × 92.35% × 15.3%. S-corp: $75,000 × 15.3% (employer and employee shares). A real salary has to be reasonable for your role, and income tax, state taxes and the QBI deduction also change.

What it costs

Payroll every month or quarter, a separate business tax return (Form 1120-S), more bookkeeping, and in some states an extra tax or fee (California charges S-corps 1.5% of net income, with an $800 minimum). Those costs can take a few thousand dollars off the savings.

A rule of thumb, not a rule

It often starts to make sense once profit is steadily above about $80,000 to $100,000 a year and you can pay yourself a reasonable salary. Below that, the costs usually eat the savings. Run your own numbers, or have someone run them, before you file the election (Form 2553).

YOUR NEXT MOVE

Three ways to put this to work

1. Do it yourself

Use this guide as a checklist against your books and last year's return. If you find deductions you missed, you can generally amend a return within 3 years of filing with Form 1040-X. For step-by-step help using AI to keep your books, read our free guides at **bookbytellc.com**.

2. Let us keep your books

Most missed deductions come from incomplete books. With Computatio's **Monthly Books** ($500 a month, month to month), every transaction is categorized and reconciled monthly, so deductions are captured as you go. You get a plain-English summary by the 15th and a monthly review call. AI does the sorting; a person reviews and signs off on every account.

3. Have your return prepared

Fixed-price returns for the self-employed: Simple Return $350, Self-Employed Return $600, Owner-Operator Return (LLC or S-corp) $900.

Not sure which you need?

Book a free 20-minute call. We'll look at your situation and tell you which option fits and what it costs.

calendly.com/computatio · **computatio.io**

SOURCES AND FINE PRINT

Where the numbers come from

Figures for 2026 were checked in October 2026 against the IRS sources below. Tax rules and amounts change; check the current year before you rely on any figure.

- **IRS: 2026 standard mileage rate (IR-2025-128)**
  irs.gov/newsroom/irs-sets-2026-business-standard-mileage-rate-at-725-cents-per-mile-up-25-cents
- **IRS: Tax year 2026 inflation adjustments (Rev. Proc. 2025-32)**
  irs.gov/newsroom/irs-releases-tax-inflation-adjustments-for-tax-year-2026-including-amendments-from-the-one-big-beautiful-bill
- **IRS: 2026 retirement plan limits (401(k) limit increases to $24,500)**
  irs.gov/newsroom
- **IRS: 2026 HSA limits (Rev. Proc. 2025-19) and expanded HSA eligibility (Notice 2026-5)**
  irs.gov
- **IRS: One, Big, Beautiful Bill provisions**
  irs.gov/newsroom/one-big-beautiful-bill-provisions
- **IRS Publication 587, Business Use of Your Home**
  irs.gov/publications/p587
- **IRS Publication 463, Travel, Gift, and Car Expenses**
  irs.gov/publications/p463
- **IRS Publication 946, How to Depreciate Property**
  irs.gov/publications/p946
- **IRS Publication 15, Employer's Tax Guide (Family employees)**
  irs.gov/publications/p15
- **IRS Publication 560, Retirement Plans for Small Business**
  irs.gov/publications/p560

Important

This guide provides general federal tax information for self-employed owners for the 2026 tax year. It isn't legal or tax advice for any specific person, and it doesn't cover every rule or exception. State rules vary. Examples use made-up numbers and an illustrative tax rate, and don't describe real clients. Before acting on any item, confirm it applies to your situation or consult a qualified tax professional. Computatio provides bookkeeping and tax preparation services; a person reviews and signs off on every account.

© 2026 Computatio Inc. All rights reserved. computatio.io